

Finance Club - Sub-Coordinator Selection Task

The Quantamental Portfolio Challenge: Multi-Cap Alpha Generation

Background As part of the Sub-Coordinator selection process for the Investment and Quant wing, you are tasked with constructing a high-conviction, diversified equity portfolio. We are looking for analytical minds who can blend fundamental business valuation with quantitative risk management, rather than relying on qualitative news or "black-box" indicators.

Your Task You are provided with a virtual capital of ₹5,00,000 and a strict **1-2 year investment horizon**. Your objective is to:

1. **Select exactly 10 stocks** from the Nifty 500 universe. To ensure structural diversity, your selection must include a mix of Large, Mid, and Small Cap equities.
2. **Determine Capital Weights:** Allocate the ₹5,00,000 across your 10 stocks. Do not use arbitrary percentages. You must define the mathematical or logical framework behind your weighting (e.g., Risk-Parity, Conviction-weighted based on expected return, or Sector-neutral weighting).
3. **Establish the Rationale:** Provide a structural thesis for each stock over the 1-2 year horizon. This should be a combination of:
 - **Fundamental Drivers:** Earnings visibility, ROCE, debt structures, or specific sector tailwinds (e.g., capex cycles, policy shifts).
 - **Quantitative Factors:** Identify the primary factor driving the selection (e.g., Price Momentum, Quality, Low Volatility).
4. **Portfolio Variance & Risk:** Explain how your specific combination of 10 stocks minimizes overall portfolio covariance. How does selecting these distinct sectors or market caps protect the capital over the next 12 to 24 months?

Submission Format

- Submissions must be in PowerPoint (PPT) format with a strict maximum of **10 slides**.
- You must include:
 1. **Portfolio Dashboard:** A clear matrix showing Stocks, Market Cap Category, Allocation (%), Allocation (₹), and the primary fundamental/quant thesis for each.
 2. **Stock Rationales (Grouped intelligently):** Group your 10 stocks by theme, sector, or market cap to save space. Explain the derivations of your thesis—avoid just throwing generic ratios on the screen without explaining *why* they matter for this specific 1-2 year window.
 3. **Weighting Strategy & Diversification:** The logic behind your capital allocation and how it balances the risk-reward tradeoff across large, mid, and small caps.
 4. **Macro Stress Test:** Analyze how your portfolio would react to a systemic shock over the next year (e.g., a sudden RBI rate hike or severe geopolitical supply chain disruption).
 5. **Conclusion:** Expected yield, primary risks, and what you learned from constructing the model.

Evaluation Criteria

1. **First-Principles Thinking:** Are the rationales rooted in solid economic theory and structural logic, or just generic headlines?
2. **Portfolio Construction Mechanics:** Did you actively attempt to construct a statistically sound portfolio, or are the 10 stocks highly correlated?
3. **Depth of Analysis:** The validity of the metrics used. We prefer a deep understanding of a

few key drivers over a superficial list of dozens of ratios.

4. **Communication:** Slide design, data visualization, and the ability to synthesize complex financial ideas clearly within the slide limit.

Rules & Notes

- Exactly 10 stocks. Not 9, not 11.
- Total allocation must be exactly or marginally less than ₹5,00,000.
- Originality is paramount. Generic, pre-packaged portfolios will be immediately disqualified.
- Deadline: [May 30, 2026]

Tip from the Core Team: A 1-2 year horizon means you cannot just rely on a long-term "buy and forget" strategy. Market cycles and macroeconomics will test this portfolio. Show us the math behind your risk management(logic), and prove why this specific combination of assets works together. use ai tools for research and filtering but analysis do your own ,we select on that basis and use ai smartly not blindly 😊.